UNIVERSITY OF THE PUNJAB

B.S. 4 Years Program / Sixth Semester – Spring2022

Paper: History of Economics Thought Course Code: ECON-309A Time: 3 Hrs. Marks: 60

THE ANSWERS MUST BE ATTEMPTED ON THE ANSWER SHEET PROVIDED

Q.1. Write short answers to the following questions. (6x5=30)

1. **Mercantilism**

Ans: Mercantilism was an economic theory that was prominent in Europe during the 16th to 18th centuries. It aimed to increase a nation's wealth and power by emphasizing the accumulation of precious metals, such as gold and silver, through trade. Under mercantilism, countries sought to achieve a favorable balance of trade, where exports exceeded imports, allowing them to accumulate more precious metals. To achieve this, governments implemented various policies

Mercantilism was criticized for its emphasis on hoarding precious metals and its rigid trade policies. Over time, it gave way to other economic theories, such as free trade, as countries recognized the benefits of open markets and specialization.

2. **Physiocracy**

Ans: Physiocracy was an economic theory that emerged in the 18th century in France. It advocated for natural order and believed that the wealth of a nation was derived from the productivity of its land and agriculture. According to physiocrats, agriculture was considered the only productive sector of the economy, as it was believed to generate wealth through the cultivation of land and the production of agricultural goods. They argued that other sectors, such as manufacturing and trade, were unproductive and merely circulated the wealth already created by agriculture.

Physiocrats believed in a laissez-faire approach, advocating for minimal government interference in the economy. They argued for the removal of trade barriers, regulations, and taxes that hindered agricultural production. Their key idea was the concept of "l'impôt unique" or the single tax. They proposed replacing all existing taxes with a single tax on the value of agricultural land, which they believed would be the fairest and least burdensome way to finance government expenses.

3. **Labour theory of value**

Ans: The labor theory of value is an economic theory that suggests the value of a commodity is determined by the amount of labor required to produce it. According to this theory, the more labor or work that goes into producing a good or service, the more valuable it is. This theory was first proposed by classical economists such as Adam Smith and David Ricardo. They argued that the value of a product comes from the labor inputs involved in its production, including both the physical and mental efforts.

However, it's important to note that the labor theory of value has been subject to criticism over time. Critics argue that other factors, such as supply and demand, subjective perceptions of value, and market conditions, play significant roles in determining a commodity's value.

4. **Marx and socialism**

Ans: Karl Marx was a philosopher, economist, and political theorist who played a significant role in developing socialist theories. Marx believed that capitalism was inherently flawed and created social and economic inequalities. He argued that the working class, or proletariat, would rise against the capitalist class, or bourgeoisie, leading to a revolution and the establishment of a socialist society.

In Marxist socialism, the means of production, such as factories and businesses, are owned and controlled by the workers themselves. The goal is to create a classless society where wealth and resources are distributed more equally.

Marx's ideas had a major impact on political movements and the development of various forms of socialism, such as communism. However, it's worth mentioning that the implementation of Marxism and socialism has varied across different countries and historical contexts.

5. **Ricardo's theory of rent**

Ans: According to Ricardo, rent is a payment made by tenants or lessees to landlords for the use of land. He believed that rent was determined by the difference in fertility and quality of land. Ricardo argued that as population grows and more land is cultivated, less fertile lands with higher costs of production are brought into use. Consequently, rents on more fertile lands increase because they can produce crops more efficiently.

Ricardo's theory of rent has had a significant impact on the study of land economics and the understanding of distribution of income in relation to land use.

6. **Keynes on flexible prices**

Ans: Keynes had a different perspective on flexible prices. He believed that in times of economic downturns, such as during a recession, flexible prices alone might not be enough to restore equilibrium in the economy. According to Keynes, when prices are flexible, an increase in unemployment and a decrease in demand can lead to a downward spiral, as businesses cut back on production and wages. To address this, Keynes argued for the use of fiscal and monetary policies to stimulate aggregate demand, even if it meant deviating from a strict reliance on flexible prices. These policies could involve government spending, tax cuts, or adjusting interest rates to encourage investment. Keynes emphasized the importance of government intervention during times of economic instability, rather than relying solely on flexible prices to restore equilibrium.

Q.2. Answers the following questions. (3x10=30)

1. **Compare and contrast the views of Karl Marx with his predecessors about the structure of the economy and how this structure impacts the well-being of the labor force.**

Ans: The classical economists like Adam Smith and David Ricardo, focused on the concept of a market economy driven by supply and demand. They believed that the pursuit of self-interest and the natural forces of the market would lead to economic growth and prosperity. However, they also acknowledged that there could be inequities and challenges in the distribution of wealth. Marx had a more critical view of capitalism and the economy. He argued that capitalism created inherent class divisions between the bourgeoisie (capitalist class) and the proletariat (working class). Marx believed that the structure of the capitalist system, with its emphasis on profits and exploitation, led to the alienation and exploitation of the labor force. He saw capitalism as inherently exploitative and believed that it would eventually lead to class struggle and social revolution.

Marx also argued that the well-being of the labor force was hindered by the unequal distribution of wealth and the extraction of surplus value by capitalists. He believed that workers were alienated from the products of their labor, as they did not have control over the means of production or the fruits of their own work.

In summary, while Marx's predecessors saw the market economy as a mechanism for economic growth and prosperity, Marx saw it as a system that perpetuated inequality, exploitation, and alienation of the labor force.

2. **Discuss Keynesian arguments in term of development of macroeconomics as a field. Do you consider his ideas revolutionary (discuss with arguments, not opinions) Does Hick's IS-LM model adequately represent his work?**

Ans: Keynesian economics has indeed made significant contributions to the development of macroeconomics as a field. Keynes challenged the prevailing classical economic theories of his time by emphasizing the importance of aggregate demand in determining overall economic activity. This idea revolutionized the way economists understood and analyzed the macroeconomy. One of the key revolutionary aspects of Keynesian economics is the concept of government intervention in the economy during times of recession or economic downturn. Keynes argued that government fiscal policies, such as increasing government spending or cutting taxes, could stimulate aggregate demand and help revive a struggling economy. This idea challenged the prevailing belief in the self-regulating nature of the market and provided a new framework for understanding and addressing economic crises.

Now, regarding the Hicksian IS-LM model, it is a simplified representation of Keynesian economics that captures some of the key ideas put forth by Keynes. The IS-LM model represents the interaction between the goods market (IS curve) and the money market (LM curve) to analyze the factors affecting economic equilibrium, interest rates, and the overall level of output. While the IS-LM model has been influential in teaching and understanding Keynesian economics, it is important to note that it is a simplification and does not fully capture the complexity and nuances of Keynes' original work.

Keynes' ideas have inspired further developments in macroeconomics, such as the Phillips curve, the concept of aggregate demand management, and the recognition of the importance of expectations and uncertainty in economic decision-making. These contributions have helped shape the field of macroeconomics and continue to be relevant in understanding and responding to economic challenges.

3. Compare post-Keynesian School of thought with the monetarist school.

Ans: Post-Keynesians, influenced by Keynes' ideas, focus on the importance of aggregate demand and the role of government intervention in stabilizing the economy. They argue that government spending and fiscal policies can help manage aggregate demand fluctuations and reduce unemployment. Post-Keynesians also emphasize the role of income distribution and income inequality in shaping economic outcomes.

On the other hand, monetarists, influenced by economists like Milton Friedman, place greater emphasis on the role of money supply and monetary policy in driving the economy. They argue that stable and predictable growth in the money supply, controlled by the central bank, is crucial for maintaining price stability and long-term economic growth. Monetarists believe that controlling inflation should be the primary goal of monetary policy. While both schools have differing views, they do share some common ground. Both recognize the importance of understanding aggregate demand and how it impacts the overall economy. They also recognize the significance of central bank policy, albeit with different focuses.

Overall, the post-Keynesian school has a broader view that incorporates various aspects of the economy, including income distribution and the role of government in managing aggregate demand, while the monetarist school's core focus is on money supply and its impact on price stability.

THE END